

Day 3: Public Policy - paid roads, cost of bike lanes, and more

Main points of this session:

Remembering Economics' focus on trade-offs, there is a notion of cost of time coming from the concept of opportunity cost.

As we learned in Game Theory lesson, individuals' optimization does not always lead to the most desired outcome for every player; Public Policy's role is to enforce the society's most desired outcome.

Paid roads, commute cost, and related problems are some of the examples of how Economists through Public Policy can improve social well-being!

Learning objectives for today:

- Define the cost of time and its value for society;
- List a few ways to evaluate social efficiency;
- Demonstrate Public Policy role in society on the example of commuting infrastructure;
- Discuss the role of Economists in Public Policy and learn to analyze and calculate the social benefit of a specific infrastructure solution.

Trade-offs, optimization, the value of time

In transport economics, the value of time is the opportunity cost of the time that a traveler spends on their journey. An opportunity cost of an hour is an individual's hourly wage.

Individual optimization does not equal society's optimal

As mentioned in the Game Theory lesson, a socially desirable outcome does not necessarily equal the equilibrium one (remember prisoners' dilemma). Public Policy's role is to make the socially desirable outcome also stable (equilibrium-achieving).

Transport Economics

Sometimes, closing a road makes the system more efficient! Sometimes, making a road paid makes it more efficient! We can also calculate how much money would be reasonable to spend on building a bike lane or an additional road. To calculate the value of a road, Economists calculate the time it saves for all people affected altogether and multiply it by wage.

Conclusion

It's pretty cool that closing or restricting a road can make everyone better off - that's an example of the kind of stuff economists study and do in public policy.